Barclays Global Consumer Staples Conference

Company Participants

- John Fieldy, Chief Executive Officer
- Toby David, Executive Vice President
- Unidentified Speaker, Analyst

Presentation

Unidentified Speaker

Very, very grateful to have Celsius Holdings with us at the conference this year. We have the company's CEO, John Fieldy and EVP, Toby David. So we're going to just jump right in. There are a bunch of questions prepared. I'm excited to have a chance to sit down with you both and kind of pick your brains a bit about the company and the category at large.

Questions And Answers

A - Unidentified Speaker

So maybe to start, it'd be helpful if you could offer a bit of an overview of the Celsius brand and what you think are the key differentiators of the brand equity versus traditional energy.

A - John Fieldy

Yes. Thanks for having us. We're excited to be here. It's fascinating where the Celsius portfolio and brand is today. When you look at it, when we look at some of the category, that part of the category, we're going after some of really, most importantly, the consumer trends.

Three of the biggest trends in consumer -- all consumer beverages and products, when you look at it, what we're capitalizing on is Celsius is capitalizing on the better-for-you trend, right? Everyone wants better for you, but they don't want to sacrifice flavor and taste.

So we take pride in our flavors and taste. We have over seven essential vitamins. No aspartame, no high-fructose corn syrup, and our flavor profiles are amazing. So that's the one megatrend that's out there as well.

The second megatrend is we want more function in the food and beverages. We want more out of our water. We want more out of our energy drink. And we deliver on that. We have over six clinical studies on our product. It is truly a thermogenic that helps you burn calories and body fat and really helps you achieve your health and wellness goals.

And the third megatrend that's out there is fitness. Fitness is a lifestyle. It's hip, cool, sexy, premium. The brain was born in fitness. Vitamin Shoppe, GNC. You go to Gold's Gym 24-hour, and that is our DNA today.

And if you look at what has happened in the apparel category with Athleisure Wear, Lululemon, Gymshark, and many others, that whole category is formed. And it's forming right now in the energy category with Celsius being a leader on a mainstream opportunity that we see in the category.

The other opportunity, because we're hitting on those three of those fastest growing trends in food and beverage, we are more than energy. We're seeing a lot of consumers come in for the first time, seeing Celsius as we're much more enviable. We don't have an aggressive tone.

Great flavor profiles like I talked about. I'm drinking a green apple cherry right now. You have your Oasis Five, which is a prickly pear. We launched that at Coachello. It's really cool. Then Toby has a brand new Cosmic 5 we launched at Circle K, so it's out of this world. Great flavor profile. Sparkling fruit punch.

So those are some of the -- at the high level there that we're capitalizing on. And want to add anything else, Toby?

A - Toby David {BIO 20749891 <GO>}

Yes. I would just add what differentiates us as well. Not only the health and wellness benefits, but just the usage occasion. We obviously fit the traditional energy when somebody's just looking for that pick me up. We're also seeing people trade out their coffee in the morning and afternoon.

One of the big differentiators is you actually see people consuming Celsius with their meals. Lunch, in particular. That's not something you traditionally see with the two big players, the Monsters, the Red Bulls. It's more of an appetite suppressor that don't really pair with food.

Whereas, we have some very inviting flavors, a lemon lime, some other fruit forward orange flavors that pair well with meals and almost acts as a functional soda for these folks. So at lunch, they're getting their soda, their healthier soda, they're also getting that pick me up energy for the remainder of the day.

So that's an area of food service is a big component of our growth right now. About 11% of our sales through Pepsi have been through the Food Service Division. We just rolled out into Jersey Mike's nationally, which is over 2,000 locations. Really going to be an excellent opportunity for it to prove out our thesis.

So this is a brand that actually isn't just energy. The lines are blurring a little bit between CSDs and energy when you're seeing the price increases that some of the CSDs have taken. The Delta in price now between a 16 ounce soda, it's $0.50, $0.60. So a lot of consumers are maybe looking to purchase up $0.50 to be able to get some functionality and then energy drink that can also act as maybe a CSD for them.

A - John Fieldy

And I think what we see is like with Celsius, the usage occasion is expanding. So we see it as Energy 2.0. We're beyond energy and I don't think we really thought about that before, the Pepsi partnership, which it was -- which broke with a lot of investors why we're here, and Celsius sold -- Pepsi sold their first case of Celsius October 1 last year. So really on that one year anniversary date with them.

And I think when we look back, the biggest opportunity we saw with Celsius is closing the gap within convenience and gas where we're sitting at a 60% ACV. And that was really the last frontier on opportunities that we saw. We didn't even know about this really food service opportunity.

We knew people were having it in the office with lunch and different areas. But the mass opportunity we have with Pepsi now with this food service opportunity could be really big and incremental to the overall revenue growth as well as a lot of opportunity and convenience for us.

A - Unidentified Speaker

If we're thinking about Energy 2.0 and with meals and so on, I mean is there a scope for -- might sound crazy -- but like a lower caffeine version? Is there -- I don't know, if this brand has shoulders that are broader than traditional energy.

A - John Fieldy

Yes. I think so. I mean we have a cross functional team that meets. We have a variety -- we have a three to five-year strategy on the portfolio. Timing and sequencing is really important with the teams. We've doubled the size of the organization in the last 12 months.

We have a lot of new team members, there's a lot of coaching that's required, a lot of mentoring to get everyone on the Celsius train within -- everyone's excited. We're getting some great talent from some of the top companies in the world joining our team. So really excited about that.

But when you look at within the portfolio, I think we can play there. We can potentially Celsius. We want to build Celsius as a global iconic brand. And it could be just like the Gatorade portfolio is able to go in a variety of adjacent categories. But today we're really focused on the energy.

We're seeing the usage occasionally usage occasion expands, but it could be functional seltzers. It could be hydration products offering, it could be also additional functionality for health and wellness within our overall portfolio that we could potentially leverage down the road.

A - Unidentified Speaker

Okay. Great. Sort of related, but a little bit different way of coming at it. Do you see a different value proposition in the lifetime value of a Celsius consumer versus what's been the case in the category, the traditional category, legacy category?

A - Toby David {BIO 20749891 <GO>}

I think what you've seen for Celsius over the years is we grew up in this fitness environment, so we were aging up within the category when -- we were still kind of a dietary product until we repositioned it in 2017 into more of a better-for-you essential energy type of product that also had these functional characteristics with it. So I think there are some opportunities there for certain.

A - John Fieldy

And I think when you look at the lifetime value of a consumer. So when you look at Celsius with that fitness component, we have a live fit mantra. So that Celsius live fit, it's that essential energy for life. It's for inside, outside the gym.

So I do think we have a higher value on our consumer. I think you can have a Celsius before your workout in the morning and then you're having it with lunch or an afternoon pickup. So you're getting multiple usage occasions. We also see the latest Mintel data showed that, what is it, 44% of our ...

A - Toby David {BIO 20749891 <GO>}

Numerator.

A - John Fieldy

…numerator.

A - Toby David {BIO 20749891 <GO>}

34% of our consumption is new to category. So incremental to category. So what we're seeing is, we have two different demos within that new category. We have that new to category because our -- let's call it an 18-year-old that's entering the category for the first time.

But we're also seeing this 40, 50-year-old consumer that traditionally was not willing to enter the category for whatever reason. Maybe Red Bull and Monster went for them, but for whatever reason, Celsius is a more inviting opportunity for them to enter that category.

So it's really about even in terms of that new to category, we're getting both that younger consumer and this older consumer. And that's what the -- I guess earlier, the point I was going to get to was you have that 25 to 45 where it used to be, but we've really aged down in the last without losing that older demographic. We've aged down.

You go to any college campus these days, you ask them what the most popular energy drink is. Celsius is going to be one of the first ones that come out of their mouth. We're competitive with Red Bull. We're competitive with Monster. So when you talk about that lifetime consumer, there's a lot of stickiness in this category, especially with the high usage people.

It's incredibly difficult to get people to switch from brand if they're a heavy user. We have seen some opportunities where we've been able to poach consumers from the two big players in the category as people try to shift them from those -- to this health and wellness. And that's usually a lot of those older consumers.

But the ones entering the category, that's where the big opportunity is for Celsius. That compounding effect year after year, bringing in these 18, 19, 20 year olds and creating that lifetime consumer. That's how you're actually going to be able to compete with the Red Bulls and the Monsters of the world, and nobody's been able to do that.

I mean there hasn't been a brand that's reached 10% market share the last decade right there at the moment. So I think there's an opportunity there. And I think people are beginning to realize that Celsius can play with those two players. And one of the big data points we wanted to reference today we just put that our investor deck updated.

John cited in the Q1 earnings that our market share in South Florida is 21.7% as of April. He brought that up because historically we brought up Amazon and how we had this close to 20% market share. We were outpacing Red Bull on Amazon. I think a lot of people are a little bit skeptical about whether that could translate into brick and mortar -- traditional brick and mortar.

So we started that South Florida data, one of the largest markets in the country. But we're just up to the day that we're up to 23.5%. So almost 24%. We picked up almost two full share points in four months and one of the largest markets in the country. That's a more mature market where we're still gaining market share. And that's where we think we can take this brand nationally and potentially internationally.

A - Unidentified Speaker

Okay. Talk about the things that are driving incremental spend like, in the category coming out of -- I just want to go quickly on the -- where you're sourcing the other 60% of volumes.

A - John Fieldy

Yes, yes. I mean if you look at where we're sourcing, the volumes, we're seeing -- Joey mentioned new to category. So that 44% new to category, we are sourcing for CSDs, we're sourcing from consumers that are being more curious about the energy and the functionality.

We're all busier than ever before. Phones and work and home. Everyone needs more energy as we continue to evolve the demands for each and every one of us. It becomes greater each and every day.

The category is growing at 10% to 15%. So we got great growth in the category. We're seeing retailers add more space for the energy category as well, which will further help the category out. When you look at this, 18 to 24 is a big opportunity for new to category on those consumers.

Also, Toby mentioned the demographics. We're about 50-50 male, female. We did get latest data in the convenience channel, one of the largest convenience stores and typically 70-30 mix on energy, we're told by the major retailer. And we're running about a 60-40 within that retail.

A - Unidentified Speaker

Male and female.

A - John Fieldy

Male, female. Yes, so 60% male, 40% female. So still over indexing on the female consumer. And that's new to categories. So that's really good that we're that balanced. Then we're also seeing, which is fascinating, the way that the brand and it's really going on those three of the fastest growing trends in food and beverage that's affecting all of us is you're seeing this blurring of the lines within the category.

So you're seeing consumers age out of energy. Maybe they went to teas or coffee, but they're staying in. We're seeing somewhat of an older demographic also, seeing Celsius as more acceptable, maybe healthier with the vitamins and ingredients and the unique flavor profiles. Then, we're also seeing consumers that are intrigued by energy.

But the historical energy drink portfolios may have been too aggressive of tone and maybe they didn't want to be associated with that type of stigma. And I can't tell you the number even here today at the conference, the number of people we ran into that are drinking Celsius. They replaced their afternoon coffee with Celsius but do not consider themselves energy drink consumers.

So it's really a mindset the way we've been able to build the Celsius portfolio, focusing on the health and wellness, the vitamins, the great flavor profiles. And really our main mission is to be the most refreshing energy drink in the market.

A - Toby David {BIO 20749891 <GO>}

I would just add to that. So you referenced where we're sourcing a lot of these consumers from. We've mentioned the 44% new to category per numerator. You got that younger demographic that's entering it for the first time that's probably drinking more CSDs, so as colas, and it's moving into energy for the first time to that older demographic. They're moving from coffees and teas for the first time into energy.

But the second data point from numerator was about 40% of our consumption. Additionally is incremental to the category from a term that uses user intensification, which means the users are actually drinking more energy drinks because they're consuming Celsius than they otherwise would have.

So for retailers, that's incredibly important that, that's incremental to the category. It's not just brand shifting. Brand shifting is, yes, that doesn't really help a retailer out. But when you're bringing incrementality, that's critical. Then when you look who we're sourcing from within the category, it's going to naturally be Red Bull and Monster because they're 70% plus of the category.

So that's where an overwhelming amount of the brand shipping does occur from. But that's still a smaller percentage in total as opposed to the incrementality that we're bringing to the brand.

A - John Fieldy

And you're seeing that in our data. If you look at the latest data, as of August 13 on IRI, excluding coffee, Celsius is one of the top brands in the category that's driving not only dollar growth but unit growth on both a 24-week and a 52-week. So that puts us in a really good position as the next couple of weeks, we're all preparing for buyer review meetings.

So puts us in a good position, getting close to that 10 share in the energy category with dollar growth and unit growth, which retailers are really focused on unit growth. Very difficult to cycle revenues when you're only driving that dollar growth because you're not building your base consumer, which is really critical and something that we're able to do with the Celsius portfolio. And I think that's what's attracting those new consumers, both young and all demographics.

A - Unidentified Speaker

So in terms of buyer meetings, one of my questions had been just given so many factors at play right, in different vectors where you are participating, are there certain channels that you think are better situated to drive incremental sales versus others?

A - John Fieldy

I think when you're -- like incremental sales, when we look at the portfolio, we just got to 95% ACV, so that's a major achievement. When we look at incrementality, tons of runway left, just activating the stores that we are currently in.

If you look at our Q2 financials, we had great growth in our club channel on Amazon, which both of those have been historically, we've been in those channels. Then also saw a great growth in our distribution. So independence, there's a big opportunity. I think more importantly is optimizing, getting second and third placements, getting better placements in coolers. Many retailers over nationwide retailers today.

Last year, we were selling in at a 3.4 share. So your prioritization puts you in that area. Now we're coming in at a 10 share with dollar growth and revenue growth behind us. So that should put us higher on the prioritization so we can get better placements, secondary placements.

Toby's working on initiatives, working with our sales team on cooler placements. We have a big initiative on cooler placements, secondary placements, and that's a huge opportunity. Then the food service is we're just scratching the surface on food service.

College and universities just went back. Many in your room, I don't know if you were at the sampling booth yesterday where we had one of our college graduates of the Celsius U

University. We graduated about 170 students just last month where they're going back to their campuses.

They're really our CEOs on campus working on activation, sales, marketing. We have a whole leadership team and executive team presents. We teach them about business, operations, logistics and sales. And it was great to have her here.

A - Unidentified Speaker

Awesome. Okay. So so much momentum in the business right now. And that does prompt a question of supply. So how do you feel about inventory levels in the system and your ability to kind of keep up with all of this latent demand?

A - John Fieldy

Yes, it's -- I think we work with some of the largest suppliers in the world, so we have secondary supplier routes working with the largest can manufacturers in the world. I think as an organization, we feel really good with our suppliers that we have to be able to supply the product.

Then we're in over 17 co-packers [ph] and total, we have about 22 for flex capacity. But it's really being able to -- I don't think it's on the supply chain side. It's really us managing the growth. When you're growing 100%, some SKUs are growing 200%, 300%. It's very difficult to manage, especially when we're trying to optimize our distribution, our supply network.

We're trying to create orbit. We want to produce an orbit, shipping an orbit to be as effective as possible. But when you have certain flavors running in certain parts of the country, you're shipping outside orbits. So that increases COGS more freight, more in and out fees on warehouses and those type of things.

But I think we're good on the overall supply chain. I have some inefficiencies as we grow. We'll be able to optimize that. We have plans in place to optimize that on a go-forward basis to further drive margin and leverage as we scale.

A - Toby David {BIO 20749891 <GO>}

I would just add that. Two years ago, we brought in Paul Storey as our head of operations. He was a head of global operations for Monster previous to that, to Rockstar. Incredible background. So we've got someone who's actually been able to scale similar energy or and he has the best in class relationships with all the top vendors globally. So we feel that we are very well situated at the moment.

A - John Fieldy

Yes. We're very fortunate at Paul Storey. He's great.

A - Unidentified Speaker

Great. So let's switch gears to distribution. So as you mentioned, right, you launched with Pepsi October 1 of '23 -- yes, I got my -- this is wrong '22. And spent the first two quarters kind of working to optimize distribution, right, from (inaudible) and location extensions and so on. So maybe just reflections on kind of the initial transition with Pepsi.

A - John Fieldy

Yes. It's going a lot better than everyone anticipated. I think there was a lot of individuals and in Pepsi and I think on our team that thought it was going to be a lot more difficult when you look at some transitions in the past with other brands to both systems. So I think one advantage we had is we have a lot of team members on our team that actually worked at Pepsi.

So they knew wiring, who to call if there's an issue versus Toby and I trying to figure out different names and who's responsibilities, what division. So that gave us a little bit of a competitive advantage. And as soon as we started to get closer to a distribution agreement with Pepsi, we really started to find the prior Pepsi or Pepsi experience in each one of the divisions so they can help us move extremely quickly on the wiring.

Changing retailers over on distributors is very difficult. It's not easy. Changing distributors in general is not easy. One advantage we had is on our contracts, we transferred about 80% of the distribution at one point in time. I noticed a lot of examples of other companies. When they transition, they had different cut offs on dates.

So you're changing kind of division versus division, and it gets really messy, especially with these national retailers. In order to flip stores over, you need to make sure you have the whole store covered or zoned.

And we dealt with that when we were in the ABI network trying to flip over our direct customers to ABI. We had to make sure covered stores and lots of spreadsheets and a lot of difficulty there. But the transition with Pepsi has been on great. It's been a couple of hiccups, but almost practically seamless.

A - Toby David {BIO 20749891 <GO>}

Yes. I would say it's exceeded everyone's expectations with a great relationship with Pepsi. John was the only allied brand person that was allowed to speak on stage at their national meeting in Dallas about a month ago. Very well received. It's exciting for their network to have a brand like Celsius that's really a challenger.

A - Unidentified Speaker

Yes. Okay. Great. Like you mentioned, right, ACV. Let's start with how much ACV has increased. So I guess can you just elaborate on the drivers in Club and Ecommerce specifically? Because those are (inaudible) accelerate, but it was already a very strong response for you.

A - John Fieldy

Yes. I think that's surprised -- I think surprised us by storm because you think with the ACV increases, the number of items per store now have increased since last year as well. And I think we're at 8.6...

A - Toby David {BIO 20749891 <GO>}

We went from 8 to 15. So our SKUs per store has doubled while driving our ACV from 65.

A - John Fieldy

And so you gained more availability, more opportunity, but yet the club business and online business continues to grow and it's almost like all tides are rising at the same time. So it's really fascinating and I think that gets us really excited as well because you would think there would be some type of cannibalization, either Amazon or the Club business would be cannibalized by some of the new distribution gains we have.

But going back to that numerator data, you're seeing user intensification increase. We're bringing on new consumers and the Celsius consumers. If you went back even prior to Pepsi and you go back to when we were with ABI, prior to them, all of our sales were really warm. The bulk of our sales were warm.

You either had to buy it on Amazon, you had to buy it at the grocery channel, or mass and we didn't really have -- we have very little cold availability. So our consumers have been always loyal buying it, taking it home, chilling it, and then having it as a part of a daily routine or daily regiment that they had. And that's a lot.

When you ask a consumer to buy $20, $10 worth of Celsius to take it home, chill it, and then consume it, very difficult to build a beverage company that way but we did. Then when we start gaining cold availability and further expansion, you're seeing the consumer take advantage of almost that impulse purchasing that drives the energy category that we're able to take advantage on.

So they might have had it in the morning before their workout because they chilled it and then they're picking it up at lunch or in the afternoon usage occasion as well. So I think that's some opportunities that we have there.

A - Toby David {BIO 20749891 <GO>}

The club business, I mean we're at about a $250 million run rate in Club, Costco, Amazon on fire right now. And to not see any losses on Amazon, you would think if anywhere there loss would be because the case size, people buy 18 counts of Club, maybe Amazon would struggle. Amazon was up over 100% last quarter. Strong number two, just really a point or two behind Monster for number one on Amazon.

A - John Fieldy

We had an amazing prime day on Amazon, so

A - Toby David {BIO 20749891 <GO>}

Yes. You talk about Ecommerce, Instacart. We're the number one brand on Instacart. We'd outpaced Red Bull and Monster there. So we have a lot of anecdotal evidence where we're number one or number two across the country in certain key big retailers. We haven't really cited those before, but it's again proof of concept that we can actually play with the two big players in the category.

A - Unidentified Speaker

Okay. So now with ACV having hit 95%, what are the key focus areas for you and for Pepsi in terms of driving growth in '24?

A - John Fieldy

Well I think when you look at '24, so as we sat here last year at that 3.4 share and Pepsi getting ready for them to sell their first case October 1, we weren't included in this AOP process where they do their national programming and wiring. So we almost went -- we we're working with Pepsi this year more of on a divisional level creating our programs.

So as Toby mentioned, we were included in the AOP meeting this year. So we're going to have national programming and national wiring for national execution and specific events so that'll allow us to be more, better execution on a variety of these key national retailers. Then be included in the whole process, included in a variety of their KPIs and goals and objectives for the year.

So we're really excited about that. That should help us have better execution. Then as we're sitting here with our key accounts team and their Pepsi key accounts team, we're getting in that full cycle of selling cycle, getting into buyer resets, revised planograms. And so I think the relationship has been phenomenal.

I think we're going to have a really good season coming up on working on these resets with a lot of our key retailers, best in class partnerships at 7-Eleven. We were one of the only vendors at the vendor summit that was able to present on stage as well. So we're really building these forging these great relationships for retailers and the brand is exciting.

We got great momentum. It's going to be a great year. We have more marketing dollars than we ever had before, so we're going after new communities. We just signed a deal with MLS. We signed it first with the Inter Miami and then Messi shows up a couple of weeks later. So that was a great win, turning and sequencing and sometimes is everything in life.

But that was a great win having Messi join the MLS team and we're the official energy drink of the team when we just signed a national deal for the overall league. So as well as in Chicago as well for the team. So we've got some great programs there, partner with PFL.

We got our live fit tour, coast to coast, really activating our vibe activation, we'll have some great programs and building out our marketing team. It's going to be an exciting year. So '24 is going to be a great year for us.

A - Unidentified Speaker

You mentioned the market share data in South Florida, which is great in terms of the proof point that there's still growth ahead in the more mature markets. But how does your approach vary, if at all there versus more up and coming market?

A - Toby David {BIO 20749891 <GO>}

You see similar growth rates.

A - Unidentified Speaker

Yes.

A - Toby David {BIO 20749891 <GO>}

It's more about where you started and where you've been in these markets. So we had our drill deep markets. When John and I started -- I'm going to start with the company 11, 12 years ago, we only had five markets that we can focus on because we'd find resources. And South Florida is one of those.

The New England area was another. Tampa Bay Dallas, Southern California and all those markets over indexed quite a bit versus our national average. Because we're kind of legacy, more mature markets at this point. So we've taken that playbook where we're replicating it across the country now.

But when you go into Portland or Houston or Chicago, some of these non-legacy markets for us, they're starting at a different basis point, starting point than where South Florida is today. So they grow maybe a little bit quicker because they have more room for rapid growth to get that first up to 5%, 10%. But now we're still seeing similar growth rates in those markets once they hit those thresholds.

We're seeing growth in every market in the country right now. It's really exciting to see and it's all about, to John's point, we have more marketing dollars at our disposal than ever before and we have an incredible marketing team, digital team that's able to geotarget and put fences up around markets.

We have events going on in markets around the country so we're able to increase the brand awareness. And that's something that's important because I know a lot of people want to say well, you're at 95% share. What's next? What's next is outside of getting all these new placements and these retailer meetings, getting better placements in stores and I can go on about that for 20 minutes, but it's increasing the brand awareness.

We're nowhere near where Monster and Red Bull is. And that's a great thing because that's room for growth, that's room for when that velocity is going to start spinning off the shelf and that's how you actually become that competitive number one or two brand in the category here in the U.S.

A - John Fieldy

And in '24, we're going to be expanding the number of our focus markets. We're all creatures of habit. We go to the same grocery store, the same gym, same gas station, likely to the same restaurant every other week. And so we really need to be part of a daily lifestyle, a daily routine and that takes some time to build those daily consumers.

But to Toby's point, with Pepsi, we're able to touch consumers, get that distribution set up properly in the right channels, at the right placements, with the right displays, with the right marketing overlay. And our overall playbook on strategy where we bring sales to marketing together within specific markets, we can activate these markets much quicker and start to see really good share gains and returns within our investments.

So for '24, we will be expanding into additional markets outside of our core '23 today as we look to leverage this 95% ACV that we currently have in all these stores.

A - Unidentified Speaker

Great. So I also have to ask a question longer term, just as the business matures. So the second quarter adjusted EBITDA margin expanded and it was just under 24% along with 1,000 basis point increase in gross margin. So if we look ahead to when sales growth, I guess normalizes closer to like a category average, how do you think about the longer term run rate for operating margins? Does it migrate towards that of one of the large incumbent players, recognizing this is a year gap conversation?

A - John Fieldy

Absolutely. I mean we have a peer group that we watch very closely. They're another large public company. And I think when you look at the overall sales and marketing percentage of revenues and our G&A, the other company does put outbound freight in their sales expense versus COGS. We put it in COGS, so you just got to make that adjustment.

But I think we can get very close if not similar to that comp. And I don't see why we can. We got great leverage in the second quarter. Sales and marketing came in around a little over 19%. Probably wanted to spend a little bit more. Being like the 21 to 22 range is probably where we wanted to be. But revenues grew really high.

We have a detailed almost -- we have a process in order to make investments and we're not just going to spend to spend. I want to make sure we got the ROI, we're leveraging sales.

We have a whole playbook that has to be required in order to make investments. So we went over our budget, internal budget and we did make some additional investments but we weren't going to over invest just to hit a percentage number or not.

We do see opportunities in '24 probably to get back down in that 21, 22 somewhere around their range, maybe 21, 20 because we want to leverage the new distribution we just gained. So I don't think right now is the time to pull back. Let's continue to drive, share new consumers through the category if what we're doing is working with the dollar growth and the unit growth. And let's see how far we can take it and continue to keep running.

A - Unidentified Speaker

Okay. Great. We only have a few minutes. I just wanted to close out touching on international ambitions. I guess and having messy now. You have like international ambassador because you see Miami kids all over the world all of a sudden. It's crazy.

So just how should investors think about your appetite for expansion internationally, the timeline to do so again not plenty of runway domestically, but priorities in terms of new market timeline and how investors should be thinking about that.

A - John Fieldy

Yes. We got a lot of questions on international expansion. I think in general to your point, there's massive amount of runway left in the U.S. We do see opportunities in other markets. We do currently have distribution. We're a little bit over a 10 share in Sweden.

We're doing extremely well in Finland, although single digit share, but starting to see great growth there. It's a smaller market. We also just launched with a partner in South Korea and in Taiwan. But some of the larger markets, when you look at the U.K., potentially Canada, Australia and Japan, those are markets that we're currently looking at.

Working with our partners, trying to figure out what's the best route to market, what's the best value chain, working through some of the strategies, roles and responsibilities. We do have a team now of about four people that are working on international expansion within playbooks.

We want to be very methodical in our approach. Once again I go back to we're all creatures of habit. So yes, we're touching and we're capitalizing on three of the fastest growing trends in food and beverage. We want to be methodical on our approach. So you will see us in two countries. Right now we're working on finalizing the opportunities with two countries.

We're looking at Canada as number one and we'll announce another one somewhat soon. But Canada should be a big opportunity for us next year. And there's a lot of synergies with the U.S. that we can leverage as well. So it's going to take investment. We're not going to overinvest and do a blanket approach where we just gain massive amount of distribution and really overinvest to try to get turns.

We want to be methodical. We want to create that daily consumer. If we can't create that daily consumer, we'll be in and out in six months and we're cognizant of that. We don't want to be like these other brands that have gone in and gone out. There's been a ton of them.

So we're going to focus on the fitness, health and wellness. We're going to focus on a couple of key retailers. We're going to build a loyal consumer and then we're going to continue to add resources to continue to scale and we're going to make sure we're driving profitable growth. The company has been suited on profitable growth, board of directors committed on profitable growth and ultimately return shareholder value best we can.

A - Toby David {BIO 20749891 <GO>}

I think just the way to look at it's more of a three to five way and even beyond 2024. We're going to get into a few countries, we're going to develop that playbook and that we're going to be able to replicate and put into other markets and then you'll probably see a larger rollout in 2025.

But listen, our priority is going to be the U.S. There's so much room for growth. State of Ohio is probably the size of some other major markets around the world. So we have our priorities set, but we also are very interested in the international landscape.

A - John Fieldy

Absolutely.

A - Unidentified Speaker

Okay. Great. We are out of time. Please join me in thanking Toby and John for being here. Thank you, so much.

A - Toby David {BIO 20749891 <GO>}

Thank you, so much.

A - John Fieldy

Thank you.
